

# BROKERAGE FIRMS AND ROBO-ADVISORS

When it comes to buying or selling stock market investments, you are going to need a broker (or a brokerage firm) to manage the transaction. A brokerage firm is a financial institution that manages or facilitates the buying and selling of securities like stocks, bonds, funds, and so on, between buyers and sellers, essentially acting as the “middleman” between both parties. They typically charge commission fees on transactions and can provide you with up-to-date research, market analysis, and pricing information on the various securities you may be interested in purchasing. Examples of large brokerage firms in the United States include companies like Vanguard, Fidelity, Charles Schwab, T-Rowe Price, and TD Ameritrade.

There are three types of brokers that you could leverage to invest in the stock market:

1. **Full-service brokers.** These are basically a one-stop shop for all of your investment needs. They offer money market and brokerage accounts and a wide range of customized financial planning services like estate planning, investment management, and specific individual investing advice via one-on-one sessions with financial advisors, based on your objectives and risk tolerance. As a result of the services they offer, they typically have higher commission fees and other types of service fees (e.g. fees to work with a designated financial advisor), so you need to ensure that whichever full brokerage firm you select is reputable and acts with your best interests as their top priority.
2. **Discount brokers.** Discount brokers offer their services at a considerable discount compared to full-service brokers. Similar to a full-service broker, you can open money market and brokerage accounts with them where you can initiate transactions to buy and sell securities. They are able to offer discounted services because they do not offer customized financial planning advice (i.e. working with a designated financial advisor to develop a plan for your personal situation). However, they do typically have financial advisors available to provide general, nonspecific advice and have human support to help you place investment orders.